

## DEBT &amp; EQUITY

# A 102-Unit Affordable Project Closed in 90 Days. Here's What the Lender Had to Believe.

Ballmer-backed philanthropic capital bypasses LIHTC, proving speed is a function of structure, not subsidy.

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A source-grounded Light Tower Insight. The complete note follows.

The first Steve Ballmer-backed affordable housing project broke ground last week in Puyallup, Washington. The headline is the philanthropist. The story is the 90-day close.

Addison Grove, a 102-unit garden-style community, closed financing in a quarter of the time typical for affordable developments. It did so without the Low-Income Housing Tax Credit program, the federal subsidy that has defined affordable housing finance for four decades. Instead, the capital stack relied on recycled tax-exempt bonds, a \$13.41 million subordinate loan from the Washington Family Housing Fund, and Fannie Mae's M.TEB credit enhancement.

The 90-day close is the most revealing number in the story. It signals that the constraint on affordable housing production is not just capital availability. It is capital structure.

LIHTC deals routinely take 12 to 24 months to close. The timeline is not a function of construction complexity. It is a function of allocation cycles, layered public funding, and the legal and accounting machinery required to syndicate tax credits. Every month of delay adds carry costs, market risk, and political exposure. The developer, Great Expectations, eliminated that machinery entirely.

The Washington Family Housing Fund is a partnership between Ballmer Group and the Washington State Housing Finance Commission. It is philanthropic capital with a public mission but a private speed. The \$13.41 million loan is forgivable at maturity, a structure that deepens affordability without requiring the developer to service additional debt. The fund does not compete for LIHTC allocations. It does not wait for a federal calendar. It writes a check when the deal is ready.

That changes the incentive map for every party in the transaction.

The developer no longer needs to layer four or five sources of gap financing. The lender, Heritage Bank, sees a construction loan backed by a capital stack with fewer moving parts and a shorter exposure window. Fannie Mae's credit enhancement provides a permanent takeout that does not depend on a tax credit syndicator finding equity investors. The state housing finance commission recycles tax-exempt bonds it already controls, deploying them without a new allocation cycle.

Every party's clock compressed because the structure removed the party with the longest clock: the

LIHTC syndicator.

This is not an argument that LIHTC is obsolete. It is an argument that LIHTC is not the only path, and that the path chosen determines the timeline. The federal program produces roughly 100,000 units annually, but it does so at a pace that reflects its layered, multi-party design. Philanthropic capital, by contrast, can move at the speed of a single check writer who does not need to market tax credits, manage investor relations, or wait for an allocation round.

The model has limits. The Washington Family Housing Fund is not a national program. It is a state-specific partnership backed by a single philanthropist with a net worth exceeding \$100 billion. Scaling the model would require either more philanthropic capital or a public mechanism that replicates its speed without its dependency on a single donor.

But the model reveals something about the affordable housing finance system that is true regardless of scale: the timeline is not fixed. It is a function of structure. A 90-day close is possible when the capital stack eliminates the slowest party.

For developers, the implication is practical. The next affordable project does not need to wait for a LIHTC allocation if it can access tax-exempt bonds, a credit enhancement, and a subordinate lender willing to accept a forgivable return. That combination exists in other states, though rarely with the same philanthropic backing. The question is whether state housing finance agencies and private lenders can replicate the structure without the Ballmer check.

For lenders, the signal is about risk. A 90-day close means less time for market conditions to shift, less time for cost escalation, less time for the capital stack to break. The shorter timeline does not eliminate underwriting risk, but it reduces execution risk. That is a real improvement in the risk profile of affordable housing construction debt.

For investors, the model raises a question about return expectations. Philanthropic capital accepts a forgivable return. Private capital does not. The structure works because the subordinate loan does not need to earn a market yield. That is the trade-off: speed and depth of affordability in exchange for a

below-market return on a portion of the capital stack.

The Puyallup project is 102 units. It is not a market shift. But it is a proof of concept. The question it leaves for the market is not whether Ballmer will write more checks. It is whether the affordable housing finance system can learn from a structure that closed in 90 days without the federal subsidy that everyone assumed was required.

The answer will determine how fast the next 10,000 units get built.

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#### SOURCES

— Propmodo — <https://propmodo.com/first-steve-ballmer-backed-housing-project-breaks-ground/>

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